

Paradiem

The Morning Brief

AUGUST 1, 2026

Memory Squeeze

AI cap-ex validated as hyperscaler prints anchor +1% week; Apple's memory shock and quiet Iran pause frame the setup.

S&P 500 (FRI CLOSE) \$747.03 · ↑approx. 1% on the week	NASDAQ (FRI CLOSE) \$687.99 · ↑approx. 1.6% on the week	BRENT (BNO FRI) \$50.38 · ↑1.45% on Friday	BITCOIN (LIVE) Approx. \$64.8k per Sunday Guardian · below IBIT-tracked range	FEAR & GREED CNN 39 · Fear · data drop crypto fallback 27
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Markets — Week in Review: Hyperscaler Prints Delivered the Cap-Ex Validation With MSFT's Approximately \$492B Single-Day Cap Gain per Bloomberg and AMZN ↑15.3% Friday per AP / ClickOrlando on AWS Approximately 37% Growth and a Cash CapEx Guide Lift to Approximately \$220B; Apple Gave Back Approximately 7–10% Friday per Yahoo / Reuters on Cook's Characterization of the Memory Environment as an Unprecedented Supply Shock, and the S&P 500 Closed the Week Up Approximately 1% Against a Hawkish 9-3 Fed Hold and a 1.5% Q2 GDP Advance Print

THE WEEK DELIVERED A CLEAN CAP-EX VALIDATION EVEN AS THE COMPOSITION TURNED BIFURCATED — MSFT ADDED APPROXIMATELY \$492B IN CAP ON THURSDAY PER BLOOMBERG ON AZURE APPROXIMATELY 43% CONSTANT-CURRENCY GROWTH, AMZN ROSE APPROXIMATELY 15.3% FRIDAY PER AP COVERAGE ON AWS APPROXIMATELY 37% AND A CAPEX GUIDE LIFT TO APPROXIMATELY \$220B WITH JASSY CITING MEMORY-COST PASS-THROUGH, AND AAPL FELL APPROXIMATELY 7–10% FRIDAY PER YAHOO / REUTERS AS TIM COOK FRAMED THE MEMORY SQUEEZE AS AN UNPRECEDENTED SUPPLY SHOCK; THE S&P 500 CLOSED THE WEEK APPROXIMATELY ↑1% AT \$747.03, THE NASDAQ APPROXIMATELY ↑1.6% AT \$687.99, AND JULY ENDED WITH THE DOW BOOKING A FOURTH CONSECUTIVE MONTHLY GAIN PER AP WHILE THE NASDAQ SLIPPED APPROXIMATELY 3.2% AND THE S&P APPROXIMATELY 0.1% FOR THE FULL MONTH

Per Bloomberg and GuruFocus coverage of Thursday's tape, Microsoft added approximately \$492B in market value on the day, a figure Bloomberg characterized as the largest single-session gain by any company on record. Per AP reporting cited via ClickOrlando, Amazon rose approximately 15.3% Friday on AWS approximately 37% growth — described by management as the fastest AWS growth in 18 quarters — and CEO Andy Jassy raised the 2026 cash CapEx figure to approximately \$220B, citing higher memory costs as the driver. Per Yahoo Finance, Reuters, and CNBC coverage of the Apple print, shares fell approximately 7–10% Friday as CEO Tim Cook characterized the memory-cost dynamic as an unprecedented supply shock and management guided fiscal Q4 revenue growth of 9–11% versus consensus above 12%, citing supply constraints as the softener rather than demand weakness. Per data drop, Friday's sector composition rotated into cyclicals as Discretionary (XLY) closed ↑3.29%, Communication Services (XLC) ↑1.56%, Energy (XLE) ↑1.00%, and Industrials (XLI) ↑0.81%, while Materials (XLB) ↓2.34% absorbed a sharp gold give-back (GLD ↓1.49%, SLV ↓2.13%). For FCI positioning, the memory-cost pass-through framing reinforces the physical AI infrastructure thesis anchoring the Utility-AI-power sleeve (VST reports next week per data drop, CEG reported earlier in the week) and provides the read-through for the merchant-silicon composition (NVDA ↑2.93% Friday at \$200.75, CRDO ↑2.94%, MRVL ↑2.32%) that had already recovered materially from the mid-week reset.

S&P 500 (FRI CLOSE)	\$747.03 · ↑approx. 1% on the week per AP
NASDAQ (FRI CLOSE)	\$687.99 · ↑approx. 1.6% on the week per AP
DOW (FRI CLOSE)	\$524.32 · ↑approx. 1% on the week per AP · fourth straight monthly gain in July
JULY FULL MONTH	S&P approx. -0.1% · Nasdaq approx. -3.2% · Dow approx. ↑0.3% per AP
MSFT THU SESSION	Approx. \$492B market cap added per Bloomberg · largest single-day gain on record
AMZN FRI SESSION	Approx. ↑15.3% per AP · AWS approx. 37% growth · CapEx guide lifted to approx. \$220B
AAPL FRI SESSION	Approx. ↓7–10% per Yahoo / Reuters · Cook cites memory “100-year flood”
CVX Q2 PRINT (FRI)	EPS \$6.06 vs. \$5.62 est per data drop · approx. \$12.1B net income up approx. 287% Y/Y per GuruFocus · stock ↑2.35% at \$196.83
CARSON'S SPY SUPPORT	\$645.80 active · Fri range \$737.68–\$748.89 · not hit

THE WEDNESDAY FOMC DELIVERED A 9-3 HAWKISH HOLD WITH THREE REGIONAL BANK PRESIDENTS DISSENTING IN FAVOR OF A 25BPS HIKE PER FORBES / CNN — THE FIRST THREE-WAY DIRECTIONAL DISSENT SINCE 2016 PER YAHOO — AND THE THURSDAY BEA ADVANCE ESTIMATE PRINTED Q2 GDP AT 1.5% ANNUALIZED VERSUS CONSENSUS NEAR 2.1%,

WITH CORE PCE COOLING TO 3.3% YEAR-OVER-YEAR PER BEA; TLT CLOSED THE WEEK AT \$82.25, AND THE COMPOSITION FRAMES A MATERIALLY LIVE SEPTEMBER MEETING

Per Forbes, CNN, and Yahoo Finance coverage of the Wednesday FOMC decision, the Committee held the target range at 3.50%–3.75% for the fifth consecutive meeting on a 9-3 vote, with Cleveland’s Hammack, Minneapolis’s Kashkari, and Dallas’s Logan each dissenting in favor of a 25bps hike — the first three-way directional dissent since 2016 per Yahoo. Per BEA release coverage, Thursday’s Q2 GDP advance estimate printed at 1.5% annualized versus consensus near 2.1%, and June Core PCE cooled to 3.3% year-over-year (from May’s 3.4%) with headline PCE -0.1% month-over-month. Per data drop, TLT closed Friday at \$82.25 (↓0.66%), extending the week’s long-end weakness on the hawkish-hold framing and the energy pass-through composition. For the FCI Dividend and Utility sleeves, the higher-for-longer positioning that has anchored the sleeve was tested Friday as Utilities (XLU) closed ↓0.69% and Staples (XLP) ↓0.49% into the growth-cyclical bid, though EIX’s Friday give-back (↓6.81% at \$73.37) reflected a Barclays downgrade cited in the data drop rather than the sector composition alone. **Simplicity Over Complexity.**

The week reset the AI cap-ex debate materially — Microsoft’s and Amazon’s prints validated the demand signal and reframed the memory-cost narrative from a semi-cycle headwind into a hyperscaler pass-through that has now reached the Apple hardware line; the Fed’s three-way dissent and cooler Core PCE keep September genuinely live in either direction, and the FCI physical AI infrastructure thesis carries into the week ahead with the Utility-AI-power sleeve well-anchored.

Research Reveals Opportunities.

Geopolitics — The US-Iran Kinetic Sequence Entered a Pause per CNBC / CNN Coverage of the July 27 Framing, but Iran's Foreign Ministry Reiterated There Are “Currently No Negotiations With the United States” per CNN — Only With Oman on Hormuz — and Iran Denied Media Reports of a 10-Day Ceasefire; The Egyptian Infrastructure Corridor Attack Surface Widened With the Damietta Port Drone Strike Earlier in the Week per CNBC / Reuters, and Sumed Loadings Have Risen to Approximately 28.79 Million Barrels in July per Reuters as Physical Flows Reshape Around the Chokepoint

PER CNBC AND CNN COVERAGE OF THE JULY 27 FRAMING, THE US PAUSED STRIKES ON IRAN AT TEHRAN'S REQUEST WITH PRESIDENT TRUMP WARNING ATTACKS WOULD RESUME IF A NEW CEASEFIRE DEAL IS NOT REACHED; PER CNN, IRAN'S FOREIGN MINISTRY INDICATED TEHRAN IS NOT CURRENTLY NEGOTIATING WITH THE UNITED STATES, WITH ONGOING TALKS REPORTEDLY ONLY WITH OMAN REGARDING THE FUTURE OF THE STRAIT OF HORMUZ — IRAN ALSO DENIED MEDIA REPORTS OF A 10-DAY CEASEFIRE

Per CNBC's July 27 coverage of the strike pause and Iranian denial of negotiations, the temporary break in hostilities held into the following session even as Tehran denied media reports that it had agreed to a 10-day ceasefire. Per CNN Live coverage cited alongside the CNBC framing, Iran's Foreign Ministry stated Tehran is not currently negotiating with the United States, reiterating that official ongoing talks are solely with Oman regarding the future of the Strait of Hormuz. Per House of Commons Library research briefing coverage of the ceasefire trajectory, some issues, such as Iran's ballistic missile programme, are reportedly not for negotiation from the Iranian side, and a ceasefire between Israel and Hezbollah in Lebanon has been characterized as a precondition for wider talks. For the FCI Upstream and Defense sleeves, Friday's composition — CVX ↑2.35% at \$196.83 (on the Q2 beat), CNX ↑3.44% at \$35.80, OKE ↑1.95% at \$90.81, LMT ↑1.50% at \$582.74, GD ↑0.32% at \$383.42 — showed the Upstream sleeve absorbing continued bid alongside the Defense sleeve as the sovereign-participation architecture (Saudi maritime coalition per Reuters) continues to widen even as the strike cadence pauses. **The physical world matters.**

THE EGYPTIAN INFRASTRUCTURE CORRIDOR ATTACK SURFACE MATERIALLY WIDENED EARLIER IN THE WEEK WITH A DRONE STRIKE THAT DAMAGED TWO GAS TANKERS AT THE PORT OF DAMIETTA ON THE MEDITERRANEAN PER CNBC / REUTERS — NO PARTY CLAIMED RESPONSIBILITY — AND PER REUTERS, SUMED PIPELINE LOADINGS HAVE RISEN TO APPROXIMATELY 28.79 MILLION BARRELS IN JULY FROM APPROXIMATELY 19.52 MILLION IN APRIL BEFORE THE HOUSHI BAB EL-MANDEB THREAT; THE PHYSICAL-FLOW ARCHITECTURE HAS REPOSITIONED MATERIALLY WHILE FEWER THAN 10 COMMODITY SHIPS CLEARED HORMUZ ON MONDAY MORNING PER CNN COVERAGE OF THE CRISIS TIMELINE

Per CNBC coverage of the mid-week tape, Egyptian authorities confirmed a drone strike damaged two gas tankers at the port of Damietta — on the Nile Delta branch, close to the Mediterranean — with no party claiming responsibility. Per Reuters analysis coverage referenced across Al-Monitor / BOE Report, the attack renewed security concerns about the nearby Suez Canal and the Sumed pipeline (which runs from the Red Sea to the Mediterranean port of Sidi Kerir), and Sumed loadings have risen to approximately 28.79 million

barrels in July from approximately 19.52 million in April — before the Houthis July 20 threat to prevent Saudi oil exiting via Bab el-Mandeb. Per CNN coverage of the Strait of Hormuz crisis timeline referenced across recent briefs, fewer than 10 commodity ships cleared the strait on Monday morning versus a normal cadence near 100 vessels — a physical throughput gap that keeps the chokepoint architecture materially constrained even as the strike sequence pauses. For the FCI framework, physical crude tape moderation last week (BNO closed Friday at \$50.38 ↑1.45%, USO at \$129.17 ↑1.33% per data drop) alongside Chevron's approximately \$12.1B Q2 profit per GuruFocus and Shell's approximately \$9.8B Q2 doubling referenced in prior briefs indicates the physical-cash-flow rerating is holding through the pause even as front-month pricing normalizes. Any resumption of kinetic activity through the weekend catalyst window would reprice the tape materially in either direction, and Carson's SPY support at \$645.80 remains untouched at approximately

14% below Friday's \$748.89 intraday high per data drop and levels.json. **Avoid Erosion.**

US-IRAN KINETIC PAUSE	US halted strikes at Iran's request per CNBC (Jul 27) · Trump warned attacks resume without deal
IRAN ON TALKS	"Currently no negotiations with the United States" per CNN · only Oman track on Hormuz
10-DAY CEASEFIRE	Denied by Tehran per CNBC / CNN coverage
DAMIETTA PORT STRIKE	Two gas tankers damaged per CNBC · no claim of responsibility
SUMED LOADINGS (JUL)	Approx. 28.79M bbl vs. approx. 19.52M in April per Reuters
HORMUZ THROUGHPUT	Fewer than 10 ships Mon AM vs. normal cadence approx. 100 per CNN
BRENT (BNO FRI)	\$50.38 · ↑1.45% Friday per data drop
CVX Q2 PROFIT	Approx. \$12.1B · up approx. 287% Y/Y per GuruFocus · Permian / Hess synergies cited

SECTION 03

On Our Radar

1. Week Ahead — Friday Nonfarm Payrolls (July) With Consensus Near +86,000 Jobs and Unemployment at 4.2% per Globe and Mail Coverage Frames the Fed Reaction Function Into a Genuinely Live September Meeting; JOLT'S Job Openings on Tuesday and Weekly Initial Jobless Claims (Estimate Near 202,000) per the Same Preview Coverage Bracket the Labor Read. Per Globe and Mail preview coverage of the week ahead, Friday's July nonfarm payrolls print will center the labor read with consensus near a gain of approximately 86,000 jobs, an unchanged 4.2% unemployment rate, and average hourly earnings near ↑0.3% month-over-month. Per the same coverage, JOLT'S lands Tuesday and weekly initial jobless claims Thursday with the estimate near 202,000 (an increase of approximately 5,000 from the prior week). For the FCI framework, the labor composition into a 9-3 hawkish Fed hold, a 1.5% Q2 GDP advance, and Core PCE cooling to 3.3% year-over-year keeps the September meeting genuinely live for a hike (dispersion band across CME FedWatch / Kalshi / Bitcoin.com News framings referenced in the July 31 brief) rather than a cut, and any material NFP surprise in either direction would reset the Dividend-sleeve and long-end positioning materially. *Research Reveals Opportunities.*

2. Vistra Corp. (VST) Reports Q2 Earnings This Week per Yahoo Preview Coverage Cited in the Data Drop — The Utility-AI-Power Sleeve's Read Into a Materially Different Composition Than Wednesday's Defensive Bid; VST Closed Friday at \$148.19 (↓0.29%) and CEG at \$262.75 (↓0.31%) per Data Drop, With NEE at \$86.92 (↓1.15%) as the Utility Cohort Absorbed the Growth-Cyclical Rotation. Per Yahoo Finance preview coverage cited in the data drop, Vistra reports Q2 earnings during the coming week and sits at the intersection of the MSFT / AMZN cap-ex validation and the memory-cost pass-through framing that Amazon's \$220B cash CapEx guide has now anchored. Per data drop, the utility-AI-power cohort composition — VST \$148.19 ↓0.29%, CEG \$262.75 ↓0.31%, NEE \$86.92 ↓1.15% — gave back modestly on Friday alongside the broader XLU ↓0.69% into the growth-cyclical rotation. The VST print will provide the read on load-growth capture, hyperscaler contracting cadence, and the AI-power thesis anchoring the sleeve into the second half of 2026. *The physical world matters.*

3. Week in Review FCI Cohort — The Week's Reporting Delivered CVX EPS \$6.06 vs. \$5.62 est (Beat) With Approximately \$12.1B Q2 Profit per GuruFocus, CL EPS \$0.99 vs. \$0.98 est (Beat), CHD EPS \$0.89 vs. \$0.91 est (Miss), SYK EPS \$3.69 vs. \$3.52 est (Beat per Thursday's Brief Data Drop) With Stock ↓6.42% Friday at \$325.70, NXPI Fell –6.53% Friday at \$229.16 per Data Drop on the Print / Guide Composition; The Beat-and-Give-Back Pattern Anchored Post-Print Composition Once Again. Per data drop, the week's FCI print cohort delivered a mixed composition despite the broad market bid: CVX EPS \$6.06 vs. \$5.62 est beat with Q2 net income approximately \$12.1B (up approximately 287% Y/Y per GuruFocus) into a Friday close of \$196.83 (↑2.35%); CL EPS \$0.99 vs. \$0.98 est beat into a Friday close of \$91.30 (↓0.33%); CHD EPS \$0.89 vs. \$0.91 est miss into a Friday close of \$98.81 (↑1.16%); SYK EPS \$3.69 vs. \$3.52 est beat per Thursday's brief data drop, though shares closed Friday ↓6.42% at \$325.70 per data drop as post-print revisions took hold. Per data drop, NXPI (not the FCI print but relevant to the sleeve) fell ↓6.53% at \$229.16 on the AMBA / self-driving chip narrative referenced across Yahoo coverage. The composition reinforces that beat-and-give-back remains the operative post-print pattern in the current tape and that price reaction is driven by outlook and revision cadence rather than the headline beat alone. *Think Like an Owner.*

4. Carson's SPY Support at \$645.80 Remains Untouched Through Friday's Session — Intraday Range of \$737.68–\$748.89 per Data Drop Sits Approximately 14% Above the Retracement Target per levels.json; CNN's Fear & Greed Index Closed the Week at 39 (Fear) per MacroMicro / Takedia Coverage — The Data Drop's F&G Reading of 27 (Crypto) Reflects the CNN Endpoint Fallback per Workflow Documentation. Per levels.json, Carson's active SPY support at \$645.80 — the retracement target set April 13 — remains untouched through Friday's \$737.68–\$748.89 intraday range per data drop and sits approximately 14% below the current tape. The prior major resistance zone at \$691.90–\$693.20 was cleared on April 14 per levels.json and is not a live reference point. Per MacroMicro and Takedia coverage of the CNN Fear & Greed Index, the reading closed the week near 39 (Fear) rather than the 27 "Crypto" fallback shown in the data drop — a level consistent with a market that has recovered the AI-CapEx debate but still faces the Fed reaction function, the Iran pause dynamics, and the July NFP print into the coming week. For the FCI risk framework, the composition — cap-ex validated, memory-cost pass-through anchored, Iran kinetic pause holding, physical-cash-flow rerating held through Chevron's Q2 print — reinforces that the pre-committed deployment tranches (70% of reserves at –25% drawdown, remaining 30% at –40%)

remain the operative discipline into the August catalyst window. *Simplicity Over Complexity.*